Capital Budgeting: Net Present Value (NPV), IRR & Cost of Capital

Discounted cash flow modeling, internal rate of return, weighted average cost of capital (WACC), and Capital Asset Pricing Model (CAPM).

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1. Capital Budgeting Evaluation Metrics

Net Present Value (NPV) discounts project cash inflows at the cost of capital. A positive NPV indicates shareholder wealth maximization.

2. Weighted Average Cost of Capital (WACC)

WACC blends equity and after-tax debt costs: WACC = (E/V)*Ke + (D/V)*Kd*(1 - T), where Ke is derived via CAPM.